



As can be seen from the above table, even though the net profit of Infosys has grown at 43 per cent CAGR, 2000–2004, the market capitalisation has fallen by 14 per cent CAGR in the same period. This is the impact on investors when a good business is bought at irrational prices. The PE ratio has continuously declined. So, if one had bought the stock at a higher price in 2000 he would be losing money in spite of the company showing improved performance. This is the risk one takes when one is speculating. Most of the IT experts and fund managers ignored Benjamin Graham's words of warning: "Obvious prospects for physical growth in a business do not translate into obvious profits for investors."

In today's changing times there is so much of uncertainty that looking at the long-term approach seems unviable. Hence the stock markets have become the bedrock of brute speculation. This is the reason for so much volatility. It is also turning long-term investors into short-term punters. This is how the investment world works today. If you want to be a successful investor there are three ways of investing. Chapter 3 looks at the best way to invest.



References

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